

Basic First Glance Evaluation

1625 Albion Road, Toronto, ON M9V 5H8

SW Corner Albion & Martin Grove | Silverstone / Rexdale

Built ~2003 | 32,278 GFA SF | Class C | 2 Storeys + Basement

Evaluation Type	Layer 1 — Document Review + Public Data + Appraisal Review + Intended Use
Time to Complete	~25 minutes
Layer 2 Estimate	~25–35 minutes
Full Evaluation	~90–120 minutes (Layers 1–4)
Date	May 17, 2026

Property Summary

Attribute	Value
Address	1625 Albion Rd, Toronto, ON M9V 5H8
Corner	SW corner Albion & Martin Grove (signalized)
Neighbourhood	Silverstone / West Humber-Clairville (Rexdale)
Year Built	~2003 (per appraisal; other sources: 1998)
Building Class	C
Stories	2 above grade + full basement
GFA	32,278 SF
Site Area	34,208 SF (0.79 acres)
Frontage	227' Albion / 150' Martin Grove
Parking	56 surface spaces
Construction	Steel frame, brick exterior, flat roof
Zoning	CL – Limited Commercial (residential permitted)
Total Leasable SF	24,984 SF

Ownership History

Detail	Value
Current Owner	1239717 Ontario Inc.
Acquired	May 10, 2011
Acquisition Price	\$2,480,000
Management Entity	1136987 Ontario Limited (basement office, \$0 rent)
MPAC Assessment 2025	\$4,385,000 (frozen at 2016 values)
Realty Taxes 2025	\$98,534

The owner acquired this property fourteen years ago for \$2.48M. At a \$9.33M appraisal value, that represents a 3.76x return. At our risk-adjusted valuation of \$3.0–3.5M, the owner would still profit.

Zoning — Key Finding

Residential uses are permitted as-of-right under the CL (Limited Commercial Zone), including apartment houses and dwelling units above a business use. The vacant second floor could potentially be converted to residential without requiring a zoning variance — a genuine repositioning opportunity that could fundamentally change the building's income profile.

Occupancy Analysis

Floor	Total SF	Occupied	Vacant	Occupancy
Main (100s)	8,283	6,995	1,288	84.5%
Second (200s)	8,886	2,741	6,145	30.8%
Basement (B)	7,815	5,685	2,130	72.7%
Total	24,984	15,421	9,563	61.7%

Status	SF	%
Formally leased	12,665	50.7%
Informal / cash (no lease)	2,133	8.5%
Owner use	623	2.5%
Vacant	9,563	38.3%

The third-party appraisal confirms approximately **59%** of gross leasable area is vacant.

Tenant Schedule — Main Floor

Unit	Tenant	SF	Base \$/SF	Base Ann.	End
101	Eastside Job Service	892	\$20.84	\$18,589	2027
102	Harry Beauty Salon	800	\$28.00	\$22,400	2027
103	Spinex Physio	1,447	\$26.50	\$38,346	2030
104	Albion Pharmacy	1,430	\$30.00	\$42,900	2026
105	Vape Denz	358	\$54.49	\$19,507	2030
106	Mama Tobey African	968	\$24.00	\$23,232	2030
107	Royal Dental Care	1,540	\$29.00	\$44,660	2030
108	VACANT	787	—	—	—
109	VACANT	501	—	—	—

Tenant Schedule — Second Floor (Office)

Unit	Tenant	SF	Base \$/SF	Base Ann.	End
201	VACANT	1,850	—	—	—
202	VACANT (Doctor)	1,480	—	—	—
203	Forward Learning	2,644	\$13.39	\$35,403	2027
204	VACANT	1,002	—	—	—
205	VACANT (Apt area)	1,813	—	—	—

Tenant Schedule — Basement

Unit	Tenant	SF	Eff. \$/SF	Annual	Status
B101	Abdul	789	\$21.14	\$16,680	No lease
B102	VACANT	750	—	—	—
B103	Christy Anna	706	\$20.40	\$14,400	Cash, no lease
B104	Owner use	339	—	\$0	Storage
B105	1136987 Ont. Ltd	284	—	\$0	Mgmt office
B106	VACANT	392	—	—	Sump pump
B107	VACANT	486	—	—	—
B108	VACANT	502	—	—	—
B109/10	Naveen	1,304	\$1+\$17	\$23,472	\$1/sf; trainer
B111	Baljit Minhas	638	\$9.40	\$6,000	Cash, no lease
B112	Amyra Tutoring	1,625	\$1+\$17	\$29,250	\$1/sf; tutoring

Data integrity warning: The rent roll provided to the third-party appraiser shows the entire basement as vacant (\$0). The internal rent roll shows five paying tenants generating ~\$89,802/yr. This discrepancy is a material red flag.

Revenue & Operating Expenses

Revenue Summary

Category	Annual
Total Base Rent	\$285,046
Total Additional Rent (\$17/sf)	\$221,136
Total Gross Revenue	\$506,182

Operating Expenses (2025)

Line Item	Annual
Property Tax	\$98,535
Hydro	\$41,810
Management Fees	\$25,000
Building Cleaning	\$22,330
Gas	\$10,288
Repair Allowance	\$10,000
Water	\$8,426
Snow Removal	\$7,232
Landscaping	\$5,000
Waste / Garbage	\$4,200
Elevator Maint.	\$860
Fire Equipment	\$730
Elevator License	\$500
Security System	\$348
Insurance (appraiser est.)	\$15,000
Adjusted Total OpEx	\$250,259

Assessed Value

Component	Value
MPAC Assessment 2025	\$4,385,000 (confirmed by appraisal)
Assessment Date	January 1, 2016 (frozen)
Tax Rate	2.275478%
Our back-calculation	\$4,330,299 (within 1.3%)

Comparable Lease Rates

Direct Comparable — 1620 Albion Road (across the street)

Unit	Type	Size	Asking	Lease
2nd floor	Office	6,305 SF	\$8.00/sf	NNN
2nd floor	Office	2,913 SF	\$8.00/sf	NNN
Main floor	Retail	2,120 SF	\$24.00/sf	NNN

Previously listed at ~\$20/sf, now reduced to **\$8.00/sf** — confirming severe softness for upper-floor space in this micro-market.

Appraiser's Main Floor Comps (\$22–\$35/sf net, avg \$28.33)

Address	Rate	Size	Notes
900 Albion Rd	\$22.00	3,000 sf	TMI \$13.46
180 Queens Plate Dr	\$25.00	1,459 sf	TMI \$14.00
45 Woodbine Downs	\$29.00	2,610 sf	TMI \$6.85
1770 Albion Rd	\$34.00	2,335 sf	Taxes \$1.76
2437 Finch Ave W	\$35.00	550 sf	TMI \$10.00

Appraiser's Office Comps (\$10–\$18/sf net, avg \$14.83)

Address	Rate	Size	Notes
2978 Islington Ave	\$10.00	680 sf	TMI \$13.05
100 Westmore Dr	\$12.00	1,679 sf	TMI \$11.87
3700 Steeles W (Vaughan)	\$15.00	2,398 sf	TMI \$16.29
6275 Northam (Mississauga)	\$16.50	3,824 sf	TMI \$5.52
3100 Steeles W (Vaughan)	\$17.50	1,500 sf	TMI \$13.20
2201 Finch Ave W	\$18.00	1,105 sf	TMI \$11.27

Note: Office comps draw from Vaughan, Mississauga, and Finch Ave — materially stronger submarkets. The building directly across the street asks \$8/sf for comparable space.

CoStar Market Data (from appraisal)

Year	Subject Rent	YOY	Peers	Peer YOY
2023	\$28.00	—	\$28.40	1.7%
2024	\$32.00	+14.3%	\$29.79	4.9%
2025 YTD	\$27.51	-14%	\$29.78	0%

Year	Subject Rent	YOY	Peers	Peer YOY
2026 (fcst)	—	—	\$28.47	-4.4%
2027 (fcst)	—	—	\$28.04	-1.5%

Subject rents declined 14% year-over-year. Peer rents forecast to decline through 2027.

Demographics

Indicator	Neighbourhood	Community	City
Avg Household Income	\$119,244	\$102,058	\$146,857
Unemployment	28%	38%	33%
Immigrant Share	56%	61%	50%
Home Ownership	89%	54%	51%

Community income 30% below city average. Supports service retail (dental, pharmacy, physio) but limits discretionary spending and office demand.

Lease Expiry Risk

Year	Units	Revenue at Risk	Risk
2026	104 (Pharmacy)	\$42,900 + \$24,310	Imminent
2027	101, 102, 203	\$76,392 + \$73,712	Near-term
2030	103, 105, 106, 107, B110, B112	\$127,349 + various	Distant

Third-Party Appraisal Review

A draft appraisal (November 2025) concludes **\$9,330,000** market value, based on a Direct Comparison Approach (\$9,830,000) and Income Approach (\$8,830,000). The Income Approach uses a stabilized NOI of \$441,267 at a 5.00% cap rate.

Issues Identified in the Appraisal

- 1. Inconsistent rent roll data.** The appraiser received a rent roll showing the entire basement as vacant (\$0). The internal rent roll shows five paying tenants generating ~\$89,802/yr. This discrepancy undermines the appraiser's extraordinary assumption that owner data is accurate.
- 2. Vacancy allowance of 4% on a 59% vacant building.** The CoStar data within the appraisal itself shows the subject at 35% vacancy, peers at 29.4% and rising to 32% by 2027. Using 4% is disconnected from the appraiser's own market data.
- 3. Cap rate below published ranges.** The 5.00% rate falls below both suburban office Class B (7.50–9.00%) and neighbourhood retail (5.50–6.50%) per the Colliers Q3 2025 data included in the same report.
- 4. Sales comps not adjusted for vacancy.** All four comparable sales were 100% leased. No discount was applied for the subject's 59% vacancy, which would customarily warrant a 30–40% adjustment for lease-up risk and carrying costs.
- 5. Office rents exceed micro-market evidence.** The appraisal assumes \$17/sf for vacant upper floor office. The building directly across the street is asking \$8/sf for comparable space.
- 6. Declining rents not reflected.** Subject rents down 14% YOY per CoStar. Peers forecast to decline 4.4% in 2026 and 1.5% in 2027. Projections assume stable or rising rents.

Appraiser's NOI Under Corrected Cap Rates

Cap Rate	Source	Implied Value
5.00%	Appraiser selection	\$8,830,000
5.50%	Nbhd retail (low)	\$8,023,036
6.50%	Nbhd retail (high)	\$6,788,723
7.50%	Suburban office B (low)	\$5,883,560
8.00%	Suburban office B (mid)	\$5,515,838
9.00%	Suburban office B (high)	\$4,902,967

Even accepting the appraiser's stabilized NOI without adjustment, none of the published cap rate ranges for this asset class support a value above \$6.8M.

Valuation Scenarios

Scenario A — In-Place NOI (As-Is)

Gross Revenue: \$506,182 | Less OpEx: (\$250,259) | **NOI: \$255,923**

Cap Rate	Implied Value
7.0%	\$3,656,043
7.5%	\$3,412,307
8.0%	\$3,199,038
8.5%	\$3,010,859

Scenario B — Risk-Adjusted

Zero out cash tenants, 50% haircut on pharmacy. **NOI: \$185,238**

Cap Rate	Implied Value
7.0%	\$2,646,257
7.5%	\$2,469,840
8.0%	\$2,315,475
8.5%	\$2,179,859

Scenario C — Stabilized Pro Forma

Full occupancy at market rents, +insurance, 10% vacancy. **NOI: \$437,060**

Cap Rate	Implied Value
7.0%	\$6,243,714
7.5%	\$5,827,467
8.0%	\$5,463,250
8.5%	\$5,141,882

Scenario D — Appraiser's NOI, Corrected Cap Rate

Appraiser's \$441,267 NOI with appropriate cap rates.

Cap Rate	Implied Value
7.5%	\$5,883,560
8.0%	\$5,515,838
8.5%	\$5,191,376

Valuation Summary

Reference Point	Value
Owner's cost basis (2011)	\$2,480,000
MPAC Assessment (2016 frozen)	\$4,385,000
Risk-adjusted NOI @ 7.5–8.0%	\$2,315,000 – \$2,470,000
In-place NOI @ 7.5–8.0%	\$3,199,000 – \$3,412,000
Stabilized pro forma @ 7.5–8.0%	\$5,463,000 – \$5,827,000
Appraiser's NOI, corrected cap @ 7.5–8.0%	\$5,516,000 – \$5,884,000
Third-party appraisal (disputed)	\$9,330,000
Realistic Negotiation Range	\$4,000,000 – \$5,500,000

Red Flags Summary

- 1. Inconsistent financial disclosure** — Different rent rolls provided to appraiser vs. internal documents. Entire basement shown as vacant to appraiser while generating ~\$90K/yr internally.
- 2. Appraisal not supported by its own data** — Cap rate, vacancy, and rent assumptions contradict the CoStar and Colliers data included in the same report.
- 3. Catastrophic second-floor vacancy** — 69% empty; rents collapsing to \$8/sf across the street.
- 4. Three cash tenants, no leases** — \$37,080/yr no lender will underwrite; possible unreported income.
- 5. Two basement tenants at \$1/sf base** — Below-market deals locked until 2030.
- 6. Pharmacy lease expiring 2026** — Second-highest rent, no renewal indication.
- 7. Declining rent trajectory** — Subject rents down 14% YOY; market forecast to continue declining.
- 8. Related-party management fee** — Owner entity collects \$25K and occupies basement rent-free.
- 9. Two different owner entities** — 1239717 Ontario Inc. (title) vs. 1136987 Ontario Ltd. (management). Relationship unclear.
- 10. Load factor inconsistencies** — Lease SF vs. actual SF varies wildly by unit.

Intended Use — Assisted Living / Retirement Home

Convert the vacant second floor (8,886 SF) into an assisted living or retirement home facility, retaining main-floor retail tenants (pharmacy, dental, physio, grocery) as ancillary services. The building's elevator, 56 parking spaces, corner location, and 12' ceilings make it physically suitable.

Zoning — Requires Rezoning

The CL (Limited Commercial Zone) does **not** permit retirement homes, nursing homes, or residential care homes. 'Group homes' are limited to 10 people for correctional purposes. 'Health centres' are medical facilities, not residential care. These uses are only permitted as-of-right in the **CR (Commercial Residential) zone**.

Rezoning Pathways

Pathway	Timeline	Cost	Probability
Rezoning CL → CR	12–18 months	\$75K–\$150K	Moderate
Minor Variance	6–12 months	\$30K–\$60K	Uncertain
Minister's Zoning Order	3–6 months	Political	Low
Site-Specific Amendment	12–18 months	\$75K–\$125K	Moderate

Physical Feasibility

Factor	Assessment
Elevator	Public, all floors — critical requirement met
Ceiling Height	12' — ample for mechanical/sprinkler upgrades
Structure	Steel frame, concrete foundation — supports conversion
Parking	56 spaces (need 6–10 for 20 suites) — exceeds requirement
Transit	TTC bus on both Albion and Martin Grove
Main Floor Tenants	Pharmacy, dental, physio, grocery — ideal ancillary
Accessibility	Ground-level access both streets; elevator all floors

Financial Scenario — Conversion

Component	Estimate
Acquisition (mid-range)	\$4,750,000
Rezoning costs	\$100,000
2nd floor conversion (8,886 SF × \$100/sf)	\$889,000
Contingency (15%)	\$133,000
Total Investment	\$5,872,000

Component	Estimate
2nd floor: 18 suites × \$2,500/mo	\$540,000/yr
Main floor retail (retained)	\$209,634/yr
Other retained income	\$85,403/yr
Projected Gross Revenue	\$835,037/yr
Less OpEx + retirement home operating	(\$450,000/yr)
Projected NOI	\$385,037/yr
Yield on Cost	6.6%

Market Demand

Toronto is experiencing an acute shortage of seniors housing. For-profit operators are closing nursing homes rather than meeting mandatory upgrade requirements — six Toronto facilities accounting for over 9% of the city's long-term care beds are affected. The neighbourhood's 61% immigrant population, established family demographics, and existing medical services on the main floor all support this use.

Risks Specific to Intended Use

- 1. Rezoning is the primary gate.** The entire thesis depends on obtaining a zoning change from CL to CR. If denied or delayed beyond 18 months, carrying costs erode returns. No guarantee of approval.
- 2. Neighbourhood opposition is likely.** Care facilities face NIMBY resistance. Silverstone is 89% owner-occupied — homeowners will attend hearings. Ontario Human Rights Commission has pushed back on this opposition, but delays still occur.
- 3. Capital expenditure risk.** The \$889K conversion estimate is preliminary. Actual costs could be 30–50% higher. Hidden conditions (roof, HVAC end-of-life, potential asbestos) could add \$200–400K.
- 4. Operating complexity.** A commercial RE investor is not a retirement home operator. RHRA regulatory regime is intensive — inspections, staffing, care standards. Must partner with a licensed operator, reducing margins.
- 5. Revenue assumptions untested in micro-market.** \$2,500/month suite rate is Toronto-wide. Rexdale may command lower rates — community income is 30% below city average. Market rate testing essential.
- 6. Timeline to revenue: 18–30 months.** Rezoning + permitting + construction + RHRA licensing + lease-up. No retirement home income during this period while servicing acquisition debt.
- 7. Competition from purpose-built facilities.** Ontario is fast-tracking purpose-built 320+ bed nursing homes near hospitals via MZOs. These compete on quality and scale vs. an 18-suite converted commercial building.
- 8. Insurance and liability exposure.** Care facility insurance: \$40K–\$80K/yr vs. current \$15K. Professional liability, resident injury, medication errors, elopement risk all require specialized coverage.
- 9. Staff recruitment challenges.** PSW and nursing shortages are acute in Ontario. Recruiting qualified care staff for a suburban Rexdale location at competitive wages will be difficult and expensive.
- 10. Construction disrupts existing tenants.** Second-floor conversion impacts occupied main floor (dust, noise, access). If pharmacy or dental leave during construction, the retained retail income underpinning the model disappears.

Evaluation Layer Framework

This report is **Layer 1** of a four-layer framework. Each layer adds independent data sources that stress-test the deal sponsor's claims.

Layer 1 — Document Review + Public Data + Appraisal Review (~18 min)

Parse deal documents and third-party valuations. Verify math, flag inconsistencies between data sources, cross-reference public market data. Go/no-go signal.

Layer 2 — Market Comparable Deep Dive (~25–35 min)

Closed lease transactions (not asking rents) within 2km over 24 months. Absorption trends, concession levels, realistic lease-up timeline and cost. Verify or challenge appraiser's comparables.

Layer 3 — Title, Zoning, and Regulatory (~20–30 min)

Confirm 2011 acquisition via land registry. Investigate owner entity relationships. Validate residential conversion rights. Check permits, violations, environmental, liens.

Layer 4 — Financial Stress Test & Longitudinal (~30–45 min)

Multi-scenario DCF (5yr, 10yr). Tax trajectory modeling. CapEx estimation. Residential conversion financial model. Historical rent and vacancy trend analysis.

Longitudinal Capabilities

Previous sale prices — 2011 acquisition at \$2.48M confirmed. Earlier transfers would reveal full pricing history.

Historical rent trajectories — CoStar shows subject rents peaked at \$43.07 (2021), fell to \$27.51 (2025) — a 36% decline from peak. Understanding the cause informs projections.

Vacancy duration tracking — CoStar shows subject at 0% vacancy through 2024, jumping to 35% in 2025. A mass departure event likely occurred — understanding what triggered it is essential.

Property tax modeling — Assessment freeze at 2016 values creates deferred reckoning when reassessment occurs.

Tenant longevity analysis — Several tenants since 2003 (dental, pharmacy). Recent 2025 leases at \$1/sf base may indicate desperation leasing.

Conclusion

This property presents as a value-add opportunity with significant execution risk. The main floor is reasonably tenanted at market rents, but value depends on repositioning 10,000+ SF of vacant space in a declining suburban office market.

The third-party appraisal's conclusion of \$9,330,000 is not supported by the market data contained within the appraisal itself. The cap rate, vacancy, and rent assumptions are more aggressive than published ranges for this

asset class, the comparable sales were all fully-leased, and the appraisal was based on a rent roll that differs materially from the owner's internal documents.

The assisted living / retirement home conversion is the highest-potential use case identified. The physical building, existing medical tenants, parking, elevator, and acute market demand all support the thesis. However, the CL zoning does not permit this use — rezoning to CR is required, adding 12–18 months and \$75–150K before conversion can begin. The ten risks in the Intended Use section must be addressed before committing capital.

A realistic negotiation range of \$4.0M–\$5.5M reflects the gap between in-place income value and the repositioning premium. A buyer pursuing the assisted living conversion should target the lower end (\$4.0–4.5M) to preserve margin for rezoning risk, conversion costs, and the 18–30 month timeline to revenue.

TTP AI Analyst Platform — Real Estate Module (Layer 1) | May 17, 2026